

1H26F preview and FY26F forecast revisions

We expect stable, high top-line growth, despite some FX headwinds on earnings; reaffirm Buy

1H26F sales/earnings likely grew 41.2%/0.2% y-y

We forecast Wuxi XDC to report 1H26F revenue of CNY3.8bn (41.2% y-y), driven by the on-track high growth of existing business and consolidation of BioDlink (1875 HK, Not rated) since this April, which contributed CNY225mn.

On the margin front, we estimate a largely stable gross margin of 36.0% in 1H26F (factoring in economies of scale that mitigated negative FX impact, and CNY appreciation against USD by 4% in 1H26 vs 1H25), and a lower operating margin of 27.4% (-1.1pp y-y) on higher G&A expenses related to the BioDlink acquisition. Along with a higher FX loss, we expect 1H26F net profit to shareholders at CNY747mn.

For 2H26F, we estimate Wuxi XDC to book revenue/net profit of CNY4.3bn/CNY941mn (+32%/28% y-y), owing to contributions from commercial projects and further enhanced operational efficiency.

Maintain Buy rating and lower TP to HKD82.60 from HKD87.73, implying 48.4% upside

We cut FY26F revenue growth by 0.2% and lower FY26F earnings by 22.3%, considering the negative FX impact and M&A fees for the BioDlink acquisition. Our FY26F revenue / earnings are 0.2%/17.4% below Bloomberg consensus estimates.

We maintain our Buy rating. Due to our estimates change, our DCF-based (assuming a WACC of 10.3% and a terminal growth rate of 4.5% -- both unchanged) TP drops to HKD82.60 from HKD87.73. The stock currently trades at 37.1x FY26F fully diluted EPS of CNY1.38.

Rating Remains **Buy**

Target price Reduced from HKD 87.73 **HKD 82.60**

Closing price 23 July 2026 **HKD 55.65**

Implied upside **+48.4%**

Market Cap (USD mn) 8,988.0
ADT (USD mn) 40.6

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	5,944	8,109	8,092	10,530	10,714	0	13,287	
Reported net profit (mn)	1,480	2,173	1,688	2,894	2,554	0	3,238	
Normalised net profit (mn)	1,480	2,173	1,688	2,894	2,554	0	3,238	
FD normalised EPS	1.21	1.77	1.38	2.36	2.08		2.64	
FD norm. EPS growth (%)	35.3	46.8	14.0	33.2	51.3		26.8	
FD normalised P/E (x)	42.3	—	37.1	—	24.5	—	19.3	
EV/EBITDA (x)	35.3	—	25.7	—	18.5	—	14.2	
Price/book (x)	5.8	—	5.0	—	4.2	—	3.4	
Dividend yield (%)	—	—	—	—	—	—	—	
ROE (%)	17.1	20.7	14.6	22.2	18.7		19.5	
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash	

Source: Company data, Nomura estimates

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Key data on Wuxi XDC

Performance

(%)	1M	3M	12M		
Absolute (HKD)	13.9	-4.7	3.7	M cap (USDmn)	8,988.0
Absolute (USD)	13.9	-4.8	3.8	Free float (%)	78.4
Rel to Hang Seng Index	7.2	-0.8	6.3	3-mth ADT (USDmn)	40.6

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	4,052	5,944	8,092	10,714	13,287
Cost of goods sold	-2,812	-3,805	-5,195	-6,825	-8,397
Gross profit	1,240	2,139	2,897	3,889	4,889
SG&A	-320	-482	-630	-775	-942
Employee share expense					
Operating profit	920	1,658	2,267	3,114	3,948
EBITDA	1,027	1,787	2,514	3,433	4,339
Depreciation	-99	-126	-237	-303	-362
Amortisation	-8	-4	-10	-16	-29
EBIT	920	1,658	2,267	3,114	3,948
Net interest expense	-3	-17	-19	-21	-23
Associates & JCEs					
Other income	303	96	-81	107	133
Earnings before tax	1,220	1,737	2,167	3,200	4,058
Income tax	-150	-256	-390	-512	-649
Net profit after tax	1,070	1,480	1,777	2,688	3,409
Minority interests	0	0	-89	-134	-170
Other items					
Preferred dividends					
Normalised NPAT	1,070	1,480	1,688	2,554	3,238
Extraordinary items					
Reported NPAT	1,070	1,480	1,688	2,554	3,238
Dividends					
Transfer to reserves	1,070	1,480	1,688	2,554	3,238

Valuations and ratios

Reported P/E (x)	57.3	42.3	37.1	24.5	19.3
Normalised P/E (x)	57.3	42.3	37.1	24.5	19.3
FD normalised P/E (x)	57.3	42.3	37.1	24.5	19.3
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	85.4	35.1	44.5	24.2	18.7
Price/book (x)	9.2	5.8	5.0	4.2	3.4
EV/EBITDA (x)	61.1	35.3	25.7	18.5	14.2
EV/EBIT (x)	68.2	38.1	28.5	20.4	15.6
Gross margin (%)	30.6	36.0	35.8	36.3	36.8
EBITDA margin (%)	25.3	30.1	31.1	32.0	32.7
EBIT margin (%)	22.7	27.9	28.0	29.1	29.7
Net margin (%)	26.4	24.9	20.9	23.8	24.4
Effective tax rate (%)	12.3	14.7	18.0	16.0	16.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	17.7	17.1	14.6	18.7	19.5
ROA (pretax %)	18.6	16.5	15.6	18.1	20.5

Growth (%)

Revenue	90.8	46.7	36.1	32.4	24.0
EBITDA	153.3	74.0	40.6	36.6	26.4
Normalised EPS	221.6	35.3	14.0	51.3	26.8
Normalised FDEPS	238.9	35.3	14.0	51.3	26.8

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,027	1,787	2,514	3,433	4,339
Change in working capital	-1,837	-3,177	-615	-419	-457
Other operating cashflow	1,527	3,173	-490	-425	-539
Cashflow from operations	717	1,783	1,409	2,588	3,343
Capital expenditure	-1,504	-1,245	-1,699		
Free cashflow	-787	538	-290	2,588	3,343
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-17	-21	-78	-99	-116
Inc in other LT liabilities	17	26	17	18	18
Adjustments	-1,826	-3,808	-996	-1,185	-1,344
CF after investing acts	-2,613	-3,265	-1,346	1,322	1,901
Cash dividends					
Equity issue	0	2,486	0	0	0
Debt issue	478	364	0	0	0
Convertible debt issue					
Others	13	1	-3	-2	-2
CF from financial acts	491	2,851	-3	-2	-2
Net cashflow	-2,122	-414	-1,349	1,320	1,899
Beginning cash	4,048	1,925	1,511	162	1,481
Ending cash	1,925	1,511	162	1,481	3,380
Ending net debt	-1,925	-1,511	-162	-1,481	-3,380

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,925	1,511	162	1,481	3,380
Marketable securities					
Accounts receivable	1,800	2,138	2,620	3,380	4,083
Inventories	119	173	295	481	707
Other current assets	2,257	6,242	6,366	6,494	6,624
Total current assets	6,101	10,063	9,443	11,837	14,794
LT investments					
Fixed assets	2,725	4,039	5,424	6,201	7,052
Goodwill	215	215	1,291	1,291	1,291
Other intangible assets	45	58	48	139	243
Other LT assets	38	59	137	236	352
Total assets	9,124	14,435	16,343	19,704	23,732
Short-term debt	0	0	0	0	0
Accounts payable	1,409	1,924	1,708	2,057	2,301
Other current liabilities	1,058	1,742	2,071	2,378	2,735
Total current liabilities	2,466	3,666	3,779	4,434	5,035
Long-term debt					
Convertible debt					
Other LT liabilities	18	44	61	79	97
Total liabilities	2,485	3,710	3,841	4,513	5,133
Minority interest	0	0	89	223	394
Preferred stock					
Common stock	0	0	0	0	0
Retained earnings	6,639	10,725	12,413	14,967	18,205
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	6,639	10,725	12,414	14,968	18,206
Total equity & liabilities	9,124	14,435	16,343	19,704	23,732

Liquidity (x)

Current ratio	2.47	2.75	2.50	2.67	2.94
Interest cover	286.9	97.7	121.4	151.6	174.8

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	89.13c	1.21	1.38	2.08	2.64
Norm EPS (CNY)	89.13c	1.21	1.38	2.08	2.64
FD norm EPS (CNY)	89.13c	1.21	1.38	2.08	2.64
BVPS (CNY)	5.53	8.74	10.11	12.20	14.83
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	124.2	120.9	107.3	102.2	102.8
Days inventory	10.7	14.0	16.5	20.8	25.9
Days payable	150.8	159.8	127.6	100.7	95.0
Cash cycle	-15.9	-24.9	-3.8	22.3	33.7

Source: Company data, Nomura estimates

Company profile

WuXi XDC a leading Contract Research, Development and Manufacturing Organization (CRDMO), is focused on the global ADC and broader bioconjugate market. The company was co-founded by Wuxi Apptec and Wuxi Bio in May 2021 and went public on HKEX in November 2023, raising c.USD490mn. Up to date, Wuxi Bio and STA (Wuxi Apptec's holding subsidiary) held c.49% and c.21% of total shares.

Valuation Methodology

We derive our target price of HKD82.60 from a DCF model assuming WACC of 10.3% and terminal growth of 4.5%. The benchmark index for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Downside risks: 1) geopolitical tensions; 2) failure to obtain commercial-stage programs; 3) ADC modality become unattractive; and 4) rising competition.

ESG

Wuxi XDC has established a comprehensive and integrated Environmental, Health and Safety (EHS) management system, sourcing ethically, reducing environmental footprint, advocating reduced energy consumption, minimizing effluent, and acting responsibly to reduce operational impact on the environment. The company strives to advance a diverse workforce and create an equal and inclusive corporate culture. Wuxi XDC recruits employees based on their professional and academic achievements regardless of religion, disability, age, race, color, sex, gender identity, sexual orientation, or marital status to provide equal employment opportunity. Along with the creation of self-owned compliance management system and ethical standards training programs for all employees, the company has a firm "Zero tolerance" for bribery and corruption principles along with commitment to honesty and trustworthy business conduct to promote ESG culture.

Fig. 1: Wuxi XDC 1H26F income statement forecast

CNY mn	1H25	1H26F	YoY
Revenue	2,701	3,815	41%
COGS	(1,726)	(2,441)	41%
Gross profit	975	1,373	41%
<i>GP margin(%)</i>	36.1%	36.0%	
R&D expenses	(49)	(69)	39%
G&A expenses	(108)	(191)	77%
Selling expenses	(49)	(69)	40%
Operating profit	769	1,045	36%
<i>OP margin(%)</i>	28.5%	27.4%	
Other income and expenses	106	(76)	-172%
Interest expenses	(8)	(10)	30%
Pre-tax profit	867	959	11%
Income tax	(121)	(173)	42%
Profit after tax	746	786	5%
<i>NP margin(%)</i>	27.6%	20.6%	
Minority interest	-	39	
Net profit to shareholders	746	747	0%

Source: Company data, Nomura estimates

Appendix A-1

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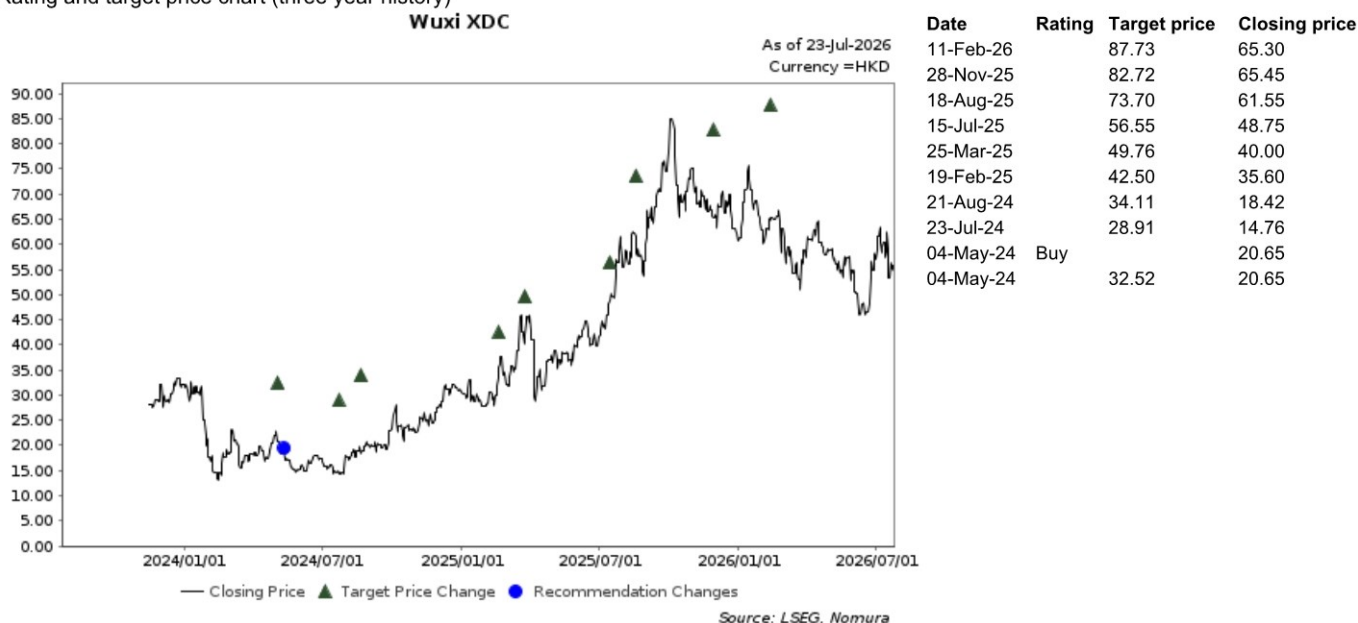
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Wuxi XDC	2268 HK	HKD 55.65	23-Jul-2026	Buy	N/A	

Wuxi XDC (2268 HK)

HKD 55.65 (23-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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